

18 June 2026

The art of capitulation

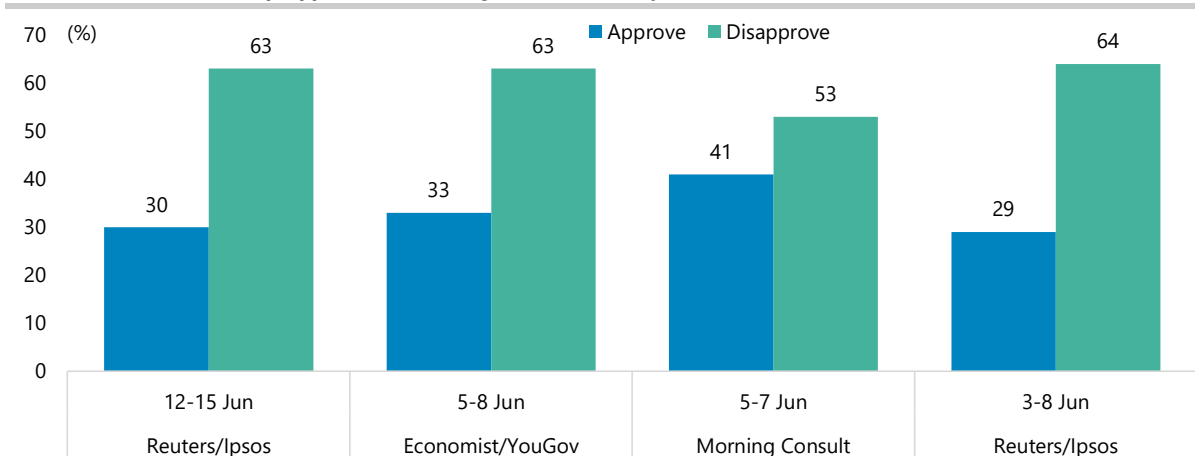
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As any investment banker can attest to, a memorandum of understanding is not a final deal, and a lot can come unstuck in the interim. Still if the US has really agreed to the 14 draft conditions set out by Iran, and the ceasefire deal signed on Sunday between US Vice President JD Vance and Iran's Parliament Speaker Mohammad Bagher Ghalibaf suggests that is the case, then it is a remarkable development. First, Iran looks like the clear winner. For the two key issues for Tehran are the unfreezing of its long frozen funds and the removal of longstanding sanctions. The key initial demand here is the release of US\$24bn in Iran's blocked funds during the 60-day negotiation period with, all importantly, half of that amount to be made available to Iran *before* the negotiations begin.

These conditions make clear just how desperate Donald Trump was to announce some sort of ceasefire ahead of the G7 meeting in Evian-les-Bains, France this week, ahead of the 4 July US 250th birthday anniversary and with the World Cup now having commenced with most of the games being played in the US.

So, the master of the art of the deal has succumbed to what looks like almost a total capitulation after no less than 38 U-turns in recent months in terms of threatening death and destruction on Iran only to reverse course hours later with the latest twist and turn taking place last Friday. The key reason for Trump's desperation to do this deal, in *GREED & fear's* view, has been continuing disastrous polling five months ahead of the mid-term elections. Trump's disapproval rating has been running almost as high as Richard Nixon's during the worst period of Watergate, while his approval rating for managing the economy remains similarly low in spite of a booming stock market. The latest Reuters/Ipsos poll conducted between 12-15 June put Trump's disapproval rating at 62%, though down from 63% the previous week. This compares with the 66% disapproval rating for Nixon back in early August 1974, a few days before his resignation, according to historical Gallup polls. The latest Reuters/Ipsos poll also shows that 63% of Americans disapprove of Trump's handling of the economy, compared with only a 30% approval rating (see Exhibit 1).

Exhibit 1: President Trump Approval – Handling the US economy



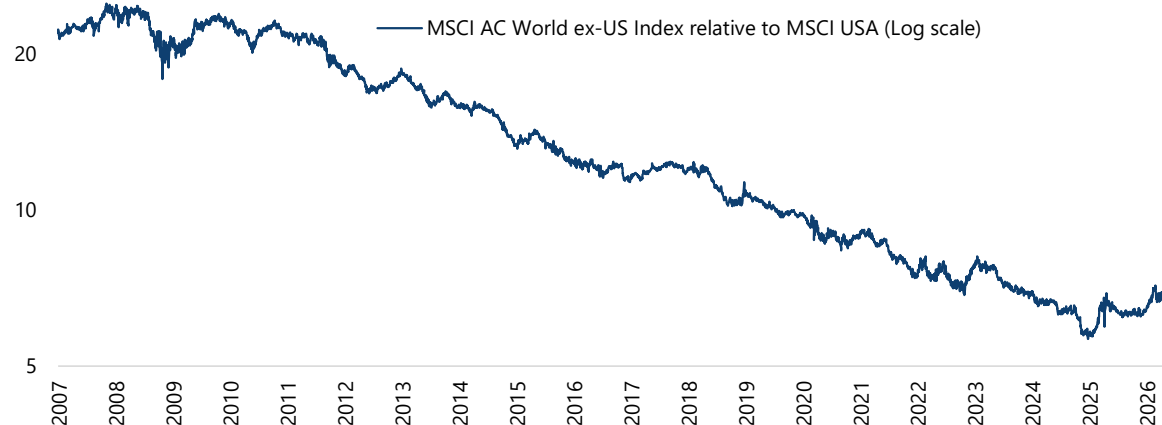
Source: Reuters/Ipsos polls, Economist/YouGov, Morning Consult

Then there is the polling on Israel, or rather on the current Israeli government. On the face of it, the draft terms set out by Tehran, if agreed to by Washington, represent the biggest rupture between the US and Israel since the creation of the Israeli state back in 1948. An article in the *Wall Street Journal* last week noted the extraordinary extent to which the current Israeli government has lost popular support in the US, if not in Congress (see WSJ article: “*Netanyahu Has Lost Middle America*” by William Galston, 10 June 2026). *GREED & fear* will mention just some of the polling data cited. For the first time since Gallup started polling on this issue 25 years ago, more Americans sympathize with the Palestinians than with the Israelis. Moreover, young Americans now favour the Palestinians over the Israelis by 53% to 23% while, perhaps even more remarkably, 70% of Americans aged under 50 have unfavorable attitudes toward Israel. The author of the article concludes that if the current Israeli government is re-elected in an election due to be held no later than 27 October then “many Americans will conclude that the Israel they have supported for decades no longer exists”.

Trump may not be an intellectual, and may not be a fan of details. But polling is something he understands, like TV ratings, and these numbers are horrible. It has, therefore, become a political liability to be seen as a pawn of the Israel lobby which is presumably why Trump has over the past two weeks chosen to make his disagreements with Israeli Prime Minister Benjamin Netanyahu public knowledge, some of them expletive-laden. To cite some of his milder comments, Trump said at the G7 Summit on Tuesday that Netanyahu needs to be “more responsible with respect to Lebanon”. He also said: “Without me, there would be no Israel, because no other president was willing to do what I did” (see *Associated Press* article: “*Trump goes after Netanyahu as he pursues deal with Iran, putting their friendship to the test*”, 17 June 2026).

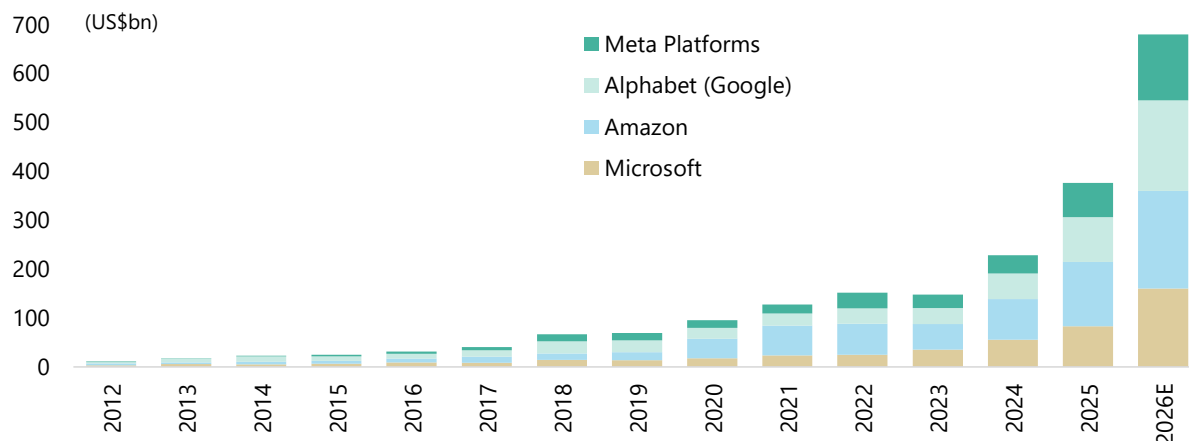
From a financial market standpoint, it is no surprise to see America’s machine driven stock market rally on the ceasefire news at the start of this week, and in particular on the oil price decline. If the peace really holds, and *GREED & fear* like many others is sceptical, then the strategy should be set for renewed outperformance of the world ex-US (see Exhibit 2), with a renewed focus on cyclical stocks, with the key fundamental issue for the US stock market remaining whether the hyperscalers will make a reasonable return in the ongoing AI capex arms race with estimates of their capital spending this year, thanks to the soaring cost of compute, now running at US\$680bn (US\$710bn including finance leases) (see Exhibit 3).

Exhibit 2: MSCI AC World ex-USA relative to MSCI USA (log scale)



Source: Bloomberg, Jefferies

Exhibit 3: US major four hyperscalers' capex



Note: Capex forecasts for 2026 are based on the midpoint of the latest company guidance for Amazon, Alphabet and Meta and Microsoft, excluding finance leases. Source: Bloomberg, Companies, Jefferies

Meanwhile, returning to the MoU, the key issue to watch for, in terms of whether the deal will hold, is the money flow (i.e. whether Iran will receive that US\$12bn). For similar reasons the best signal a ceasefire deal was on the point of being reached was the news that the UAE sent a senior security delegation to Tehran last week (see Bloomberg article: *"UAE and Iran Meet Face-to-Face to Try to Deescalate Tensions"*, 11 June 2026) and that the UAE has reportedly agreed to release a total of US\$10bn in frozen funds to Iran with more than US\$3bn already delivered; though it should be noted that the UAE foreign ministry issued a statement last Saturday categorically denying reports of such transfers including the alleged US\$3bn transaction (see Reuters article: *"UAE to unlock billions of dollars for Iran, sources say"*, 13 June 2026).

If the official denial is only to be expected, it is interesting that only Kuwait and Bahrain, or at least US military facilities in these countries, were targeted in the most recent phase of tit-for-tat hostilities not UAE. *GREED & fear* heard such details from what a colleague has described cryptically as "alternative-source signalling" (see *"JEF-X: Islamabad Accord? | Sequencing The Endgame Under Pressure"*, 8 June 2026). Such sources have so far proved much more reliable during this protracted conflict than conventional media with Pakistan having continued to play a key intermediary role in terms of the ability to communicate with all actors.

Still, at the end of the day, *GREED & fear* remains sceptical that the deal will hold, if it corresponds in any significant way to the 14 conditions set out by Iran. On that point, it should be noted that America's conditions have not yet been formally published. Still a CNN article published last night revealed that the 14-point MoU seems almost identical as to what has already been published by Iran, based on the official text read out to reporters last night by a senior US administration official (see CNN article: *"US releases official agreement with Iran. Read the 14-point text"*, 17 June 2026).

This is because for Washington to agree to such terms will mean a fundamental weakening of its position in the Middle East. This is because the war has served a key purpose for Iran and that is that it has weakened, if not discredited, the longstanding US defence guarantees to the Arab States. We believe this will be viewed as disastrous from the standpoint of Washington's national security lobby. But maybe Trump has reverted back to his isolationist instincts which were a prominent part of his successful presidential campaign ("end all wars"), and indeed his whole political agenda, before he agreed to the combined US-Israeli attack on Iran long sought by the current Israeli Prime Minister.

Returning to the markets, the news of the MoU on Iran was well-timed from the standpoint of the ultra-cautious Bank of Japan leadership given the pressure for more tightening signalled by Japan's steepening yield curve. The Japanese central bank at its policy meeting on Tuesday responded as expected with only a 25bp rate hike. This leaves the BoJ as behind the curve as ever, with the yen still hovering at the key 160 level. The BoJ increased the policy unsecured overnight call rate by 25bp to around 1.0%, the highest in 31 years (see Exhibit 4). Meanwhile, the 10-year and 30-year JGB yields have risen by 56bp and 39bp respectively year-to-date to 2.62% and 3.79% and are up 4bp and 3bp since the policy meeting (see Exhibit 5). It is also worth noting that Japan's producer price and import price indices rose by 6.3% YoY and 25.5% YoY respectively in May, reflecting the impact of the Iran conflict and the weak yen (see Exhibit 6). These should be viewed as the leading indications of further increases in consumer prices.

Exhibit 4: BoJ short-term policy rate (unsecured overnight call rate)

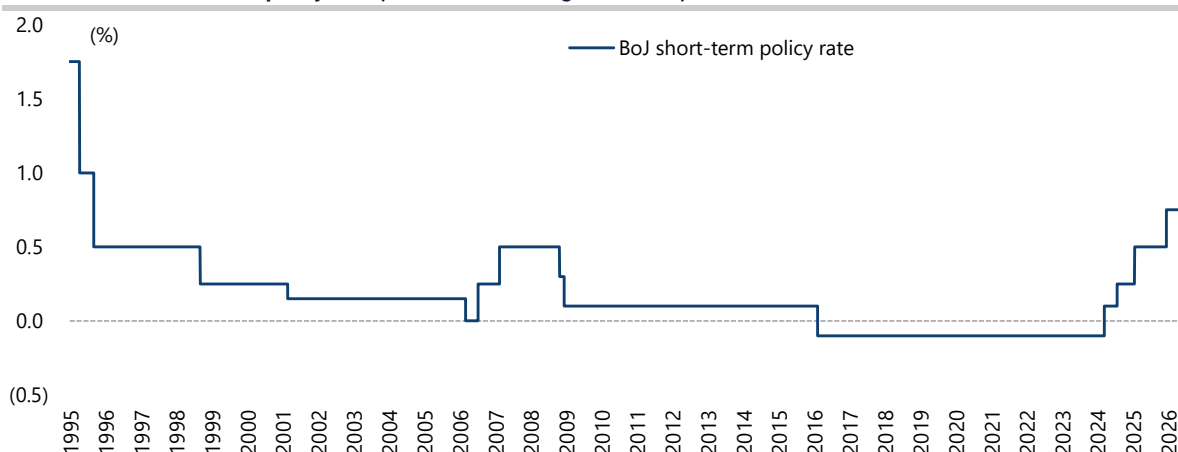


Exhibit 5: Japan 10-year and 30-year JGB yields

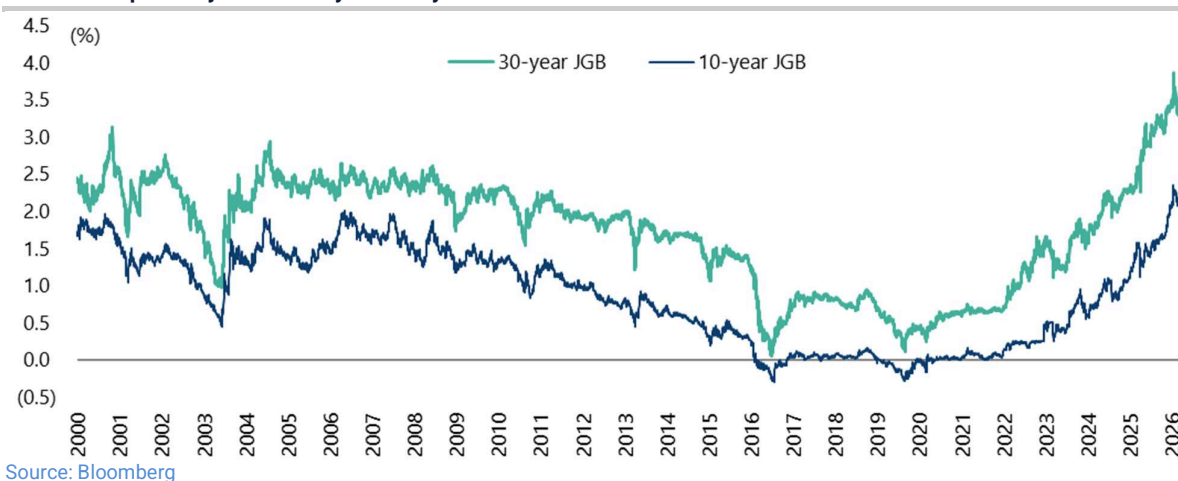
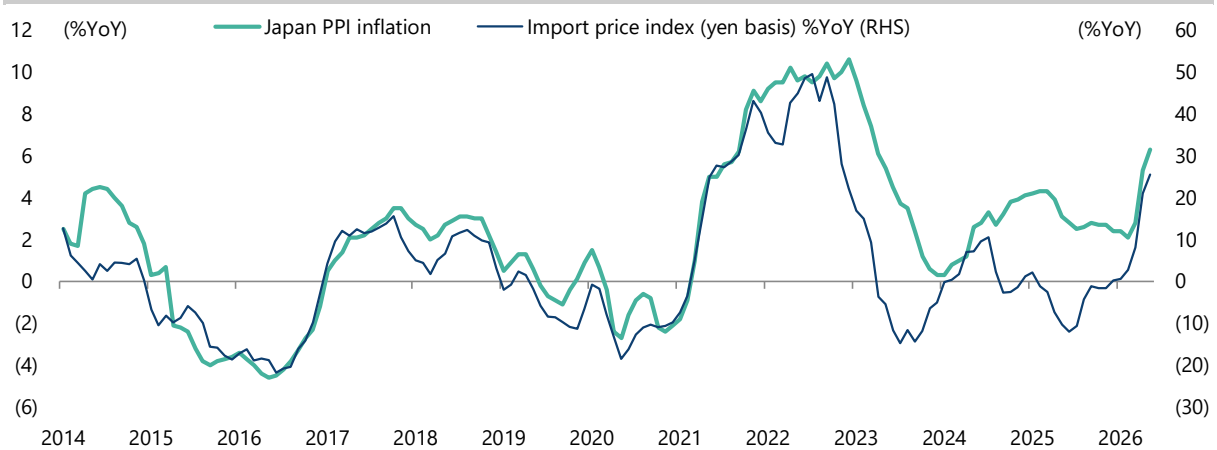
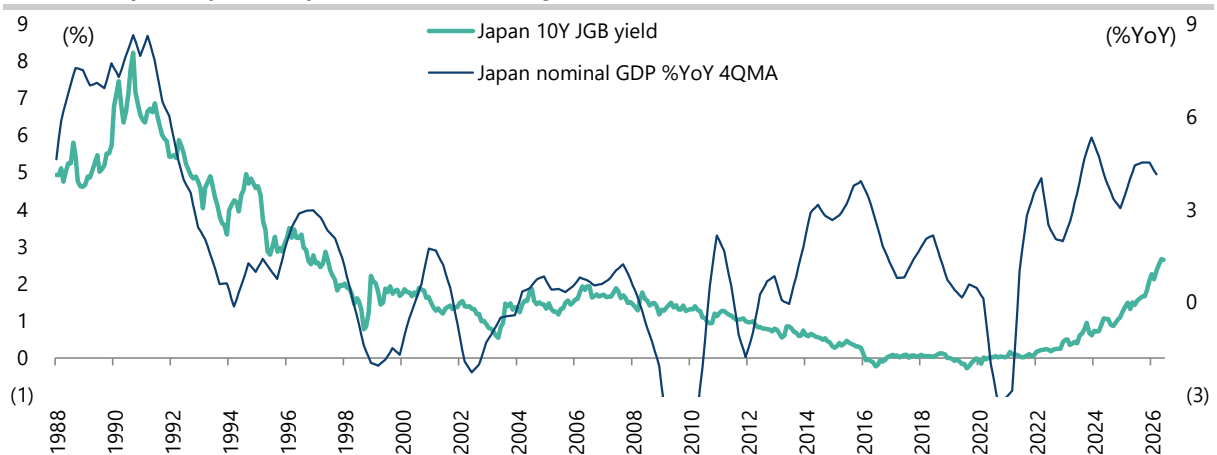


Exhibit 6: Japan PPI inflation and import price inflation



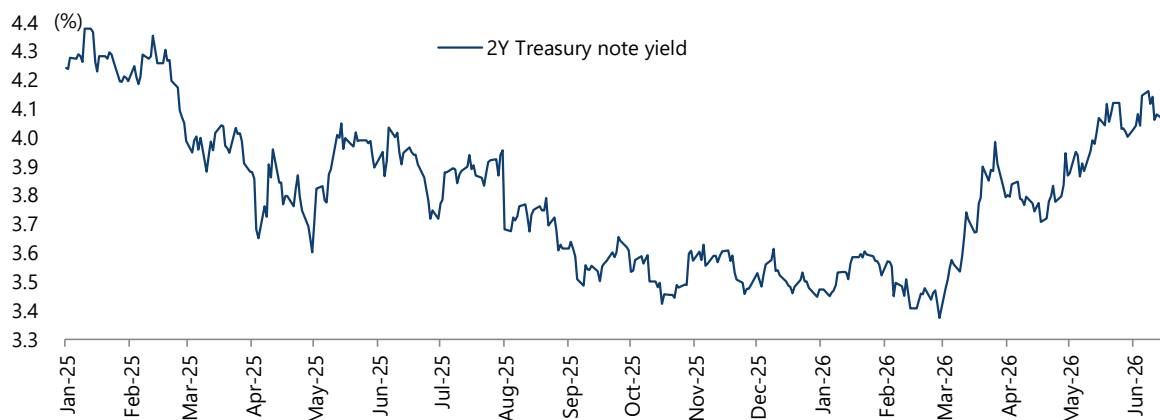
From the standpoint of investors, the conclusion remains the same: That is that Japanese equities are still vastly to be preferred to Japanese government bonds as reflected in the chart of rising nominal GDP. The steepening in the yield curve should be seen in the context of the long-term positive correlation seen in most countries between nominal GDP growth and government bond yields. Japan nominal GDP rose by 3.6% YoY in 1Q26 and 4.1% YoY in FY25 ended 31 March 2026, up from 2.0% YoY in the four quarters to 4Q22, while the 10-year JGB yield has risen from 0.07% at the end of 2021 to 2.62% (see Exhibit 7). This trend is also reflected in rising inflation expectations and rising loan growth as discussed here last week (see [GREED & fear – Bond pressures and AI resets](#), 11 June 2026).

Exhibit 7: Japan 10-year JGB yield and nominal GDP growth 4QMA



The same logic, of course, applies to the US where new Fed chairman Kevin Warsh has presided over a more hawkish message than *GREED & fear* would have expected in his first FOMC meeting this week. Still this seems sensible to *GREED & fear* given recent US data on both inflation and the economy. As a result, money markets are now expecting 36bp of rate hikes by the end of 2026 while importantly, the 2-year Treasury yield had its biggest one-day move in 14 months rising by 13bp to 4.18% yesterday (see Exhibit 8).

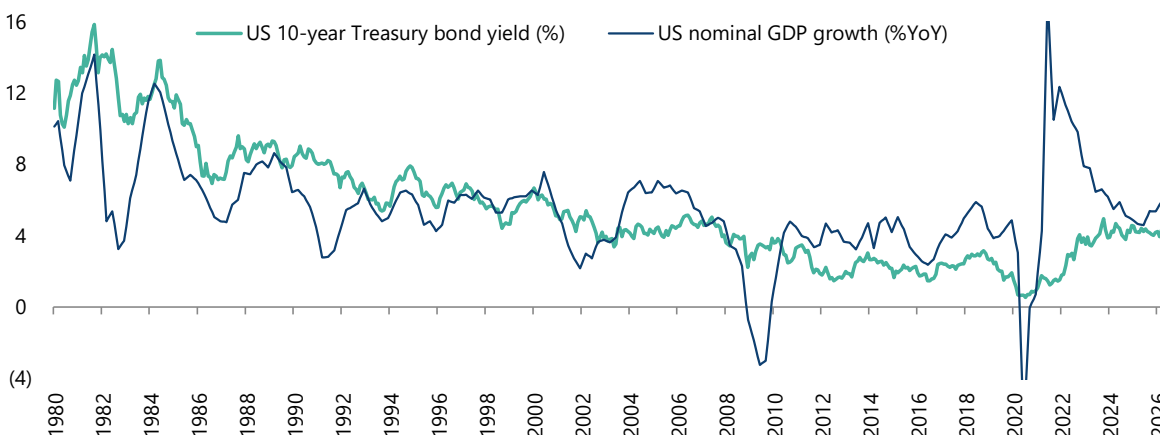
Exhibit 8: US 2-year Treasury note yield



Source: Bloomberg

One consequence of the stickiness of inflation in America, with headline CPI inflation running at its highest level in three years, is that nominal growth has been running at 5.9% YoY in 1Q26, driven primarily by the still accelerating AI capex arms race, and a fiscal deficit running at 5.3% of GDP in the 12 months to May or an estimated 5.8-6% of GDP in FY26 ending 30 September. This again is equity market positive and bond market negative, as again reflected in the long-term relationship between the ten-year Treasury bond yield and nominal GDP growth (see Exhibit 9).

Exhibit 9: US 10-year Treasury bond yield and nominal GDP growth



Source: Bureau of Economic Analysis, Bloomberg

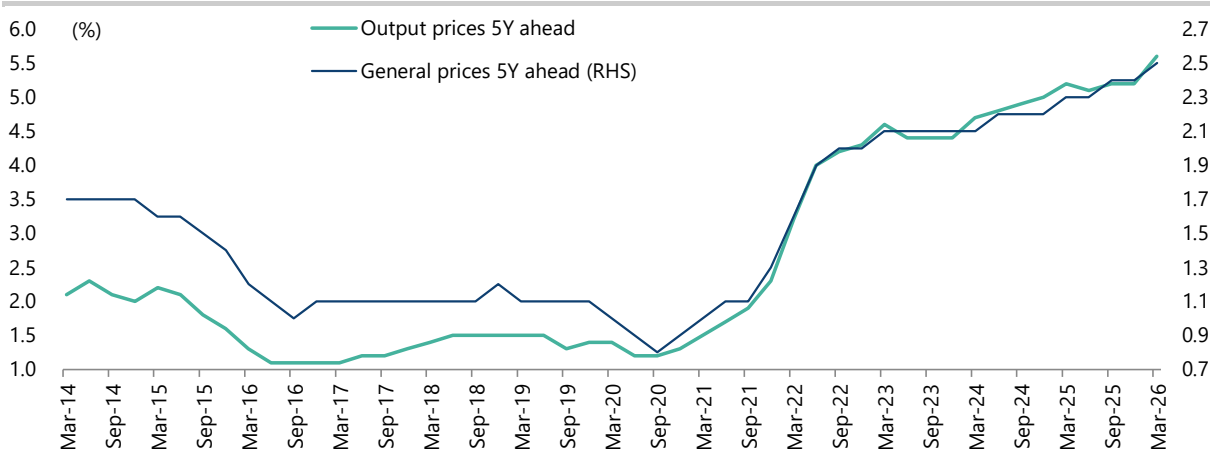
What about inflation expectations in the US? While they remain well anchored in terms of the five-year five-year forward measure by the Fed, it is interesting to note that surveys of business price expectations, be they prices paid or prices received, are rising. Thus, the average z-score of the price indices of ISM, NFIB and Philadelphia Fed business surveys has risen from -0.1 in August 2024 to 1.5 in May 2026 (see Exhibit 10). The same trend, by the way, is also reflected in similar measures in Japan. The Bank of Japan's quarterly Tankan survey shows that enterprises' average five-year inflation outlook for general prices rose from 0.8% in 3Q20 and 2.4% in 4Q25 to 2.5% in 1Q26 while the average inflation outlook for output prices rose from 1.2% in 3Q20 and 5.2% in 4Q25 to 5.6% in 1Q26 (see Exhibit 11).

Exhibit 10: Average z-score of US business surveys' price indices



Note: Average of the normalised values (z-score) of all price indices in ISM Manufacturing and Services surveys, NFIB Small Business survey and Philadelphia Fed Manufacturing Business Outlook Survey. Source: ISM, NFIB, Federal Reserve Bank of Philadelphia, Jefferies

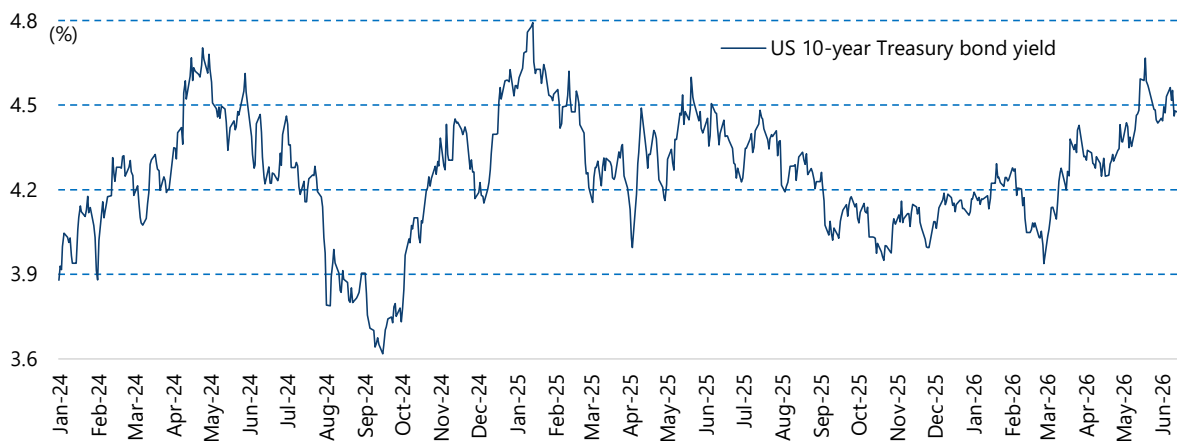
Exhibit 11: Bank of Japan Tankan survey: Average of Enterprises' Inflation Outlook



Source: Bank of Japan

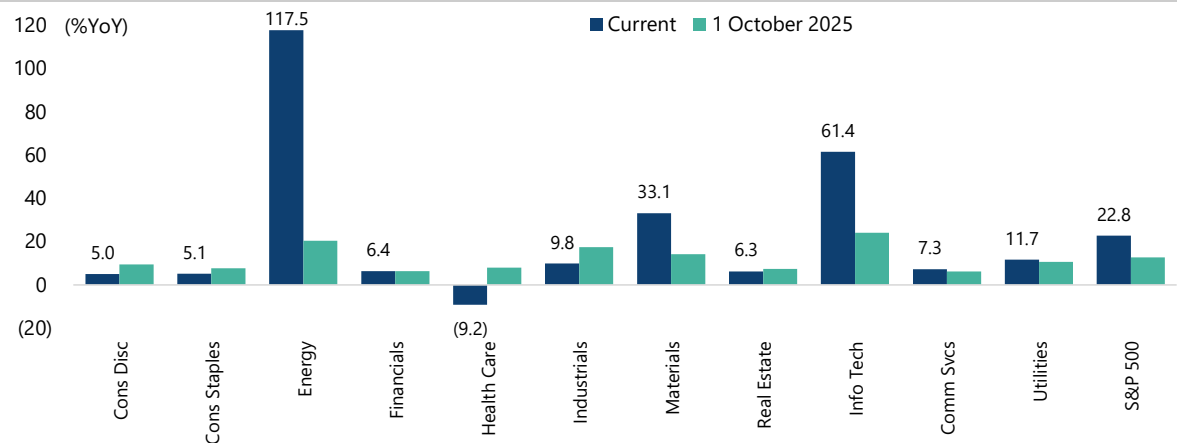
The above is why the risk in the US remains higher bond yields despite the entirely understandable rally in the bond market earlier this week triggered by the Iran news (see Exhibit 12). Meanwhile, as discussed here last week, bond yields are not yet high enough to disrupt the stock market or actively revive fiscal funding concerns. And so long as the AI capex focus is ongoing, and the returns are not questioned, the American stock market will continue to focus on the positive earnings revisions. The LSEG I/B/E/S consensus data as of 12 June now shows that S&P500 2Q26 earnings are expected to rise by 22.8% YoY, up from 12.8% growth expected last October. The IT sector has the second highest forecast 2Q26 earnings growth of 61.4%, up from 24% last October (see Exhibit 13). All 12 sub-industries in the IT sector have higher forecast earnings than a year ago, with the semiconductors and technology hardware, storage & peripherals sub-industries having the highest earning growth (132.1% and 46%, respectively). If these two sub-industries are excluded, the forecast growth rate for the IT sector declines to 18.8%.

Exhibit 12: US 10-year Treasury bond yield



Source: Bloomberg

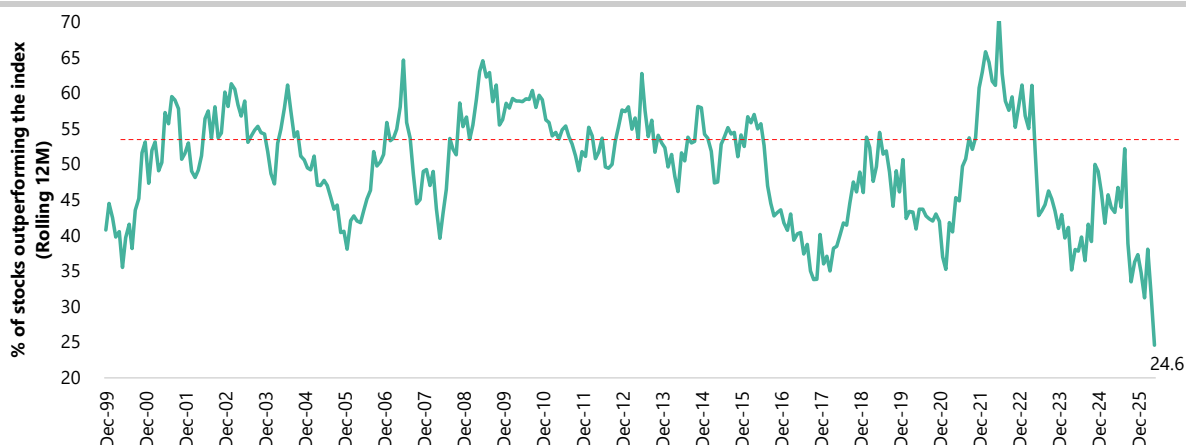
Exhibit 13: S&P500 forecast 2Q26 earnings growth



Note: Data as of 12 June 2026. Source: LSEG I/B/E/S

That said, the narrowness of the stock market returns around tech hardware is now clear evidence, in *GREED & fear's* view, of a bubble forming. For example, Jefferies' quantitative strategy team noted in a recent research report that emerging markets' stock market returns have never been more concentrated, with a record low of 24.6% of stocks in the MSCI Emerging Markets Index outperforming the benchmark index on a rolling 12-month return basis at the end of May (see Exhibit 14 and Jefferies research [EM: Decoding the AI and Momentum Unwind](#), 8 June 2026). It also needs to be remembered that the earnings from the AI capex boom are front-end loaded in the sense that the profits of the picks and shovels plays are booked up front but the hyperscalers and related parties remain in no hurry to account for that spending. In that sense, the profits of the latter are overstated.

Exhibit 14: MSCI EM – Percentage of stocks outperforming the index (Rolling 12-month)



Note: Data as of 31 May 2026. Source: Jefferies, FactSet

What about the SpaceX IPO? *GREED & fear* is not going to get caught up with valuation issues since investing in an Elon Musk company is all about believing in the individual at the helm and the related vision. For such reasons *GREED & fear* has to admit to having been a long-term personal investor in Tesla which is one reason why the stock does not feature in any of *GREED & fear*'s long-only portfolios.

Meanwhile, as a sign of that belief and in another example of the retail frenzy now driving the US stock market, it is worth highlighting the data on SpaceX leveraged single-stock ETFs after only three days of trading. A total of 11 new SpaceX single-stock leveraged ETFs were launched on Monday with combined assets under management of US\$638m as of Wednesday. Yet they have generated a combined US\$8.2bn in trading volume since listing, which to *GREED & fear* is simply astonishing (see Exhibit 15). There is also an existing leveraged ETF, the Defiance Daily 2X Space ETF (SPCL), which was launched in April as a space-related thematic ETF and was transformed literally last Friday into an ETF with 2X daily leveraged exposure to SpaceX on IPO day. That matters since all other issuers of leveraged SpaceX ETFs had been forced by the SEC to delay launches until the first trading day after the IPO (i.e. Monday) due to regulatory concerns. Indeed trading in SPCL was also temporarily halted by Cboe BZX Exchange at around 10:45am Eastern Time last Friday after recording US\$50m of trading volume in the morning. Trading then resumed on Monday with a combined trading volume of US\$263m so far this week and total assets of US\$38m as of Wednesday.

Exhibit 15: List of leveraged/inverse single-stock SpaceX ETFs launched on 15 June

Type	Ticker	ETF Name	Issuers	Trading volume (US\$m) 15-17 June
2X Long	SPAX	T-REX 2X Long SpaceX Daily Target ETF	T-REX	266
2X Long	SPCF	ProShares Ultra SpaceX ETF	ProShares	500
2X Long	LOFF	Direxion Daily SpaceX Bull 2X ETF	Direxion	315
2X Long	SPCU	Defiance Daily Target 2X Long SpaceX ETF	Defiance	466
2X Long	SPCH	Leverage Shares 2X Long SpaceX Daily ETF	Leverage Shares	3,003
2X Long	SPAL	GraniteShares 2x Long SpaceX Daily ETF	GraniteShares	402
2X Short	SNK	GraniteShares 2x Short SpaceX Daily ETF	GraniteShares	600
2X Short	SSPC	Leverage Shares 2X Short SPCX Daily ETF	Leverage Shares	1,936
2X Long	SPCM	Tradr 2X Long SpaceX Daily ETF	Tradr	210
2X Short	SPCG	Tradr 2X Short SpaceX Daily ETF	Tradr	272
2X Short	SPCQ	Defiance Daily Target 2X Short SpaceX ETF	Defiance	263
TOTAL				8,234

Note: Data up to 17 June 2026. Source: Bloomberg

Meanwhile, the key technical development of the SpaceX IPO, and a highly significant one from the standpoint of the asset management industry, was the remarkable rule changes allowed by the index providers with the singular and laudable exception of the S&P500, and the original reports were that S&P was going to blink too as previously discussed here (see [GREED & fear – The battle for capital and fast tracking](#), 4 June 2026).

In this respect, it is worth highlighting a point raised by an old contact of *GREED & fear*'s in an article on the SpaceX IPO written from the standpoint of the wealth management industry (see *Bid/Ask Research* article: *"SpaceX IPO: A Wealth Manager's Guide"*, 12 June 2026). This is that "index inclusion used to be earned". Thus, a new public company waited out a seasoning period; three months for the Nasdaq-100, a quarterly review cycle for Russell or a full year plus four quarters of GAAP profitability for the S&P500. In such a system the market engages in price discovery as the free float accumulates.

The point to note, from the standpoint of indexing, is that passive investors were never the marginal buyer of an unproven security. But that is no longer the case since the whole purpose of the pressure put on the index providers to change the rules was to trigger passive investor flows into the new listing. Still, as regards passive investing, more money tracks the S&P500 than any other index, so far as *GREED & fear* is aware, and at least it has retained for now the old system. Meanwhile, as previously discussed here from the standpoint of international investors, MSCI is also in a hurry to include the new IPO. But its rule did not need to be changed. MSCI's existing methodology already includes a rule for the fast-tracking of large IPOs. This states that large IPOs are eligible for early inclusion after 10 trading days if they meet certain size thresholds and may qualify even with a low free float.

This is relevant as the inclusion of such mega IPOs as SpaceX will increase the US weighting in the MSCI AC World Index. The US weighting is now 62.9% which is still below the all-time high of 67.2% reached in late December 2024. If SpaceX is included with a 10% free float inclusion factor, it will have an estimated weighting of 0.25% in the MSCI AC World based on the current market capitalization and will raise the US weighting to 63.0%. SpaceX's weighting will be about 0.6% if a 25% inclusion factor is applied, which will increase the US weighting to 63.1%.

Meanwhile, for those who want to know more about the economic potential of space, which is what the SpaceX IPO is meant to be all out, Jefferies' Global Head of Sustainability, Transition & Washington Strategy, Aniket Shah, has published a report on some of the key findings (see Jefferies research: [Space Policy for Investors: 5 Takeaways | REPLAY](#), 13 June 2026). One of many points made is that the global space economy is set to triple from the current US\$600bn to US\$1.8tn by 2035.

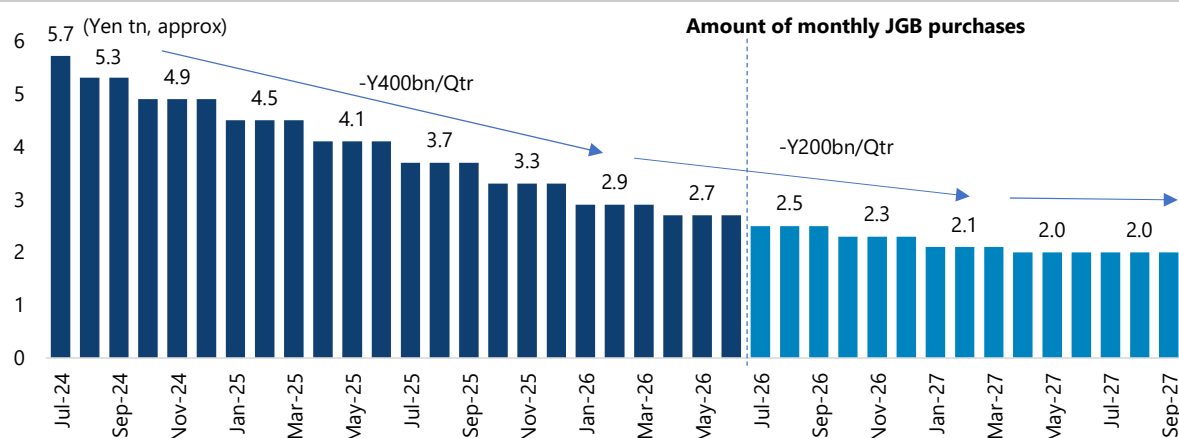
Returning to the Fed and this week's FOMC meeting, it looks like the new Fed chairman is going to follow through on his talk of ending "forward guidance" which, so far as *GREED & fear* is concerned, will be a welcome and long overdue development. On this point Warsh announced five task forces to re-examine core functions of the central bank, including "communications". This should mean sooner rather than later the end of the always ludicrous "dot plots". A signal of what is coming is that, while the dot plots were published as usual Warsh, to his credit, dissented from making such a forecast.

Meanwhile, two other task forces will examine the balance sheet and the framework used to understand inflation. A commitment to shrink the Fed's balance sheet in a material manner would have potentially huge investment implications but *GREED & fear*, for one, will want to see evidence of that before believing, as is also likely to be the case with most investors. Meanwhile, the Fed's hawkish signal this week has prevented, for now, a further bond sell-off.

Staying on the issue of central bank balance sheets, it is also worth noting that the BoJ also announced at the policy meeting this week that it will continue to reduce the amount of its gross monthly outright purchases of JGBs by ¥200bn each quarter from the current ¥2.7tn/month to ¥2.1tn/month in January-March 2027 but will then maintain the monthly purchases at around ¥2.0tn/month from April 2027 onwards (see Exhibit 16).

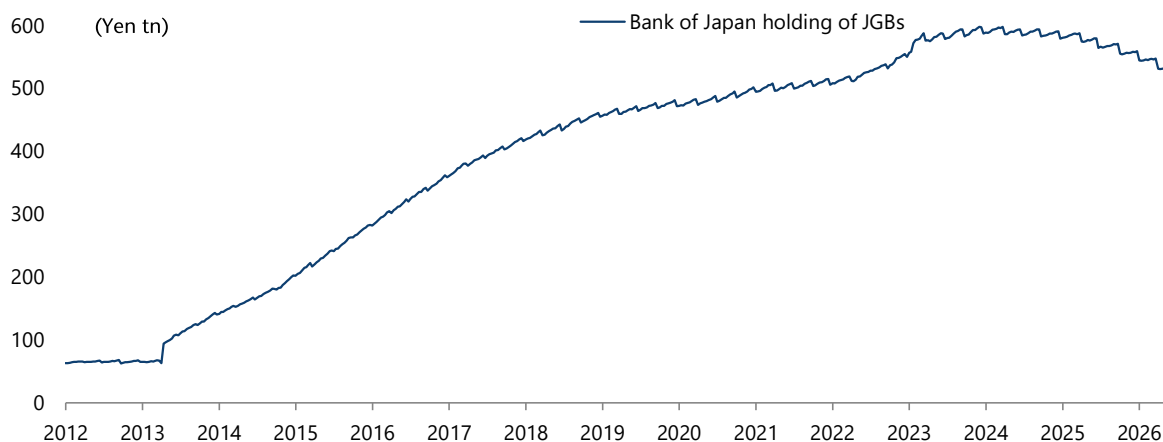
On a stock basis, the BoJ's holdings of JGBs have already declined by 11% from the peak of ¥598tn in March 2024 to ¥532tn as of 10 June (see Exhibit 17). The central bank projects that, based on the planned monthly gross purchases, its JGB holdings will decline to about ¥480tn by the end of March 2027 or 17% below the level at the end of June 2024 when the tapering began. And if the monthly purchases are maintained at ¥2.0tn/month from April 2027 onwards, the BoJ expects its JGB holdings will decline to ¥350-370tn by the end of March 2030 or 36-39% below the level at the end of June 2024.

Exhibit 16: Bank of Japan outright JGB purchases reduction plan: Amount of monthly JGB purchases



Source: Bank of Japan

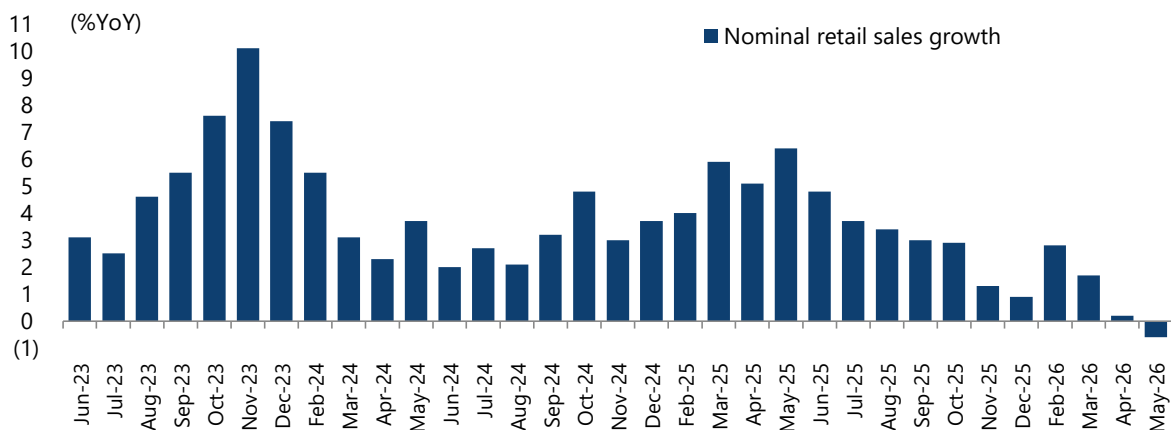
Exhibit 17: Bank of Japan holding of JGBs



Source: Bank of Japan

On the face of it, the latest China macro data shows a continuing lack of any evidence of a pickup in domestic demand. Retail sales declined by 0.6% YoY in May compared with a 0.2% YoY increase in April. This is the first YoY decline since December 2022 (see Exhibit 18). The consumer confidence index also declined from 91.6 in February to 89.0 in April (see Exhibit 19).

Exhibit 18: China retail sales growth



Source: National Bureau of Statistics, CEIC Data

Exhibit 19: China consumer confidence index

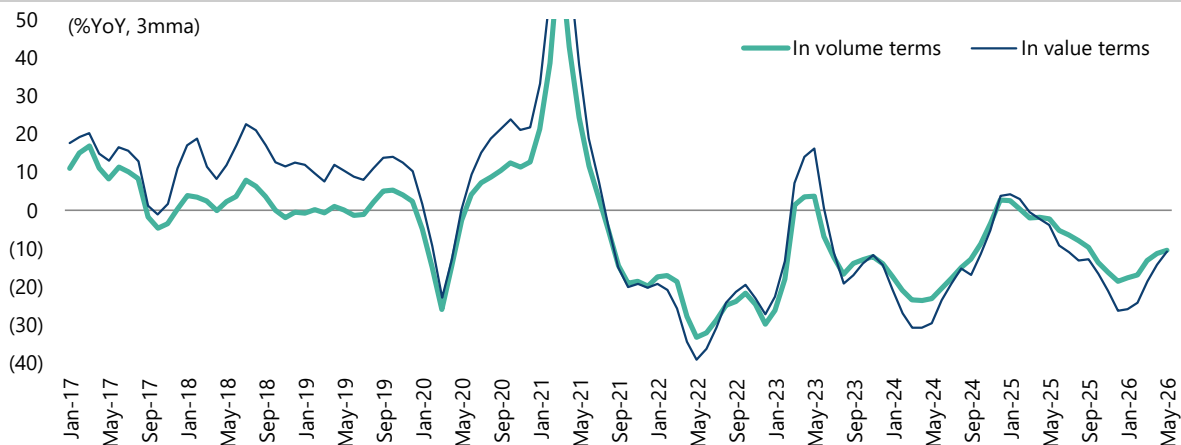


Source: CEIC Data, National Bureau of Statistics

While in terms of the property market, residential floor space sold (volume) declined by 12.1% YoY in January-May and by 14.1% YoY in renminbi value terms (see Exhibit 20); though this compares favourably with the 18.6% YoY decline in volume terms and 26.2% YoY decline in value terms in 4Q25.

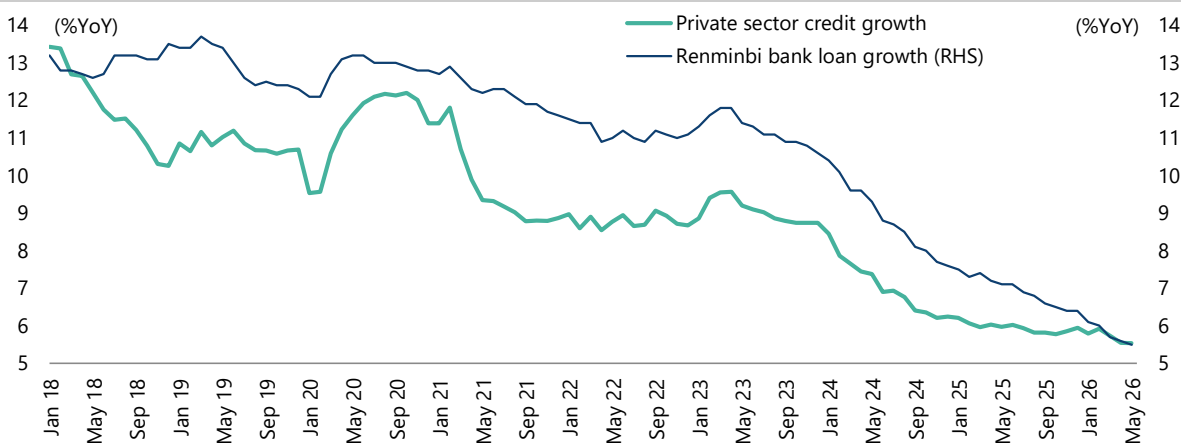
There also remains a lack of evidence of any pickup in credit growth. Renminbi bank loan growth and private sector credit growth both slowed to 5.5% YoY in May (see Exhibit 21). Meanwhile, household deposit growth slowed to 7.5% YoY in May. But in US dollar terms total household deposits rose to a record US\$25.5tn at the end of May (see Exhibit 22).

Exhibit 20: China residential property sales %YoY



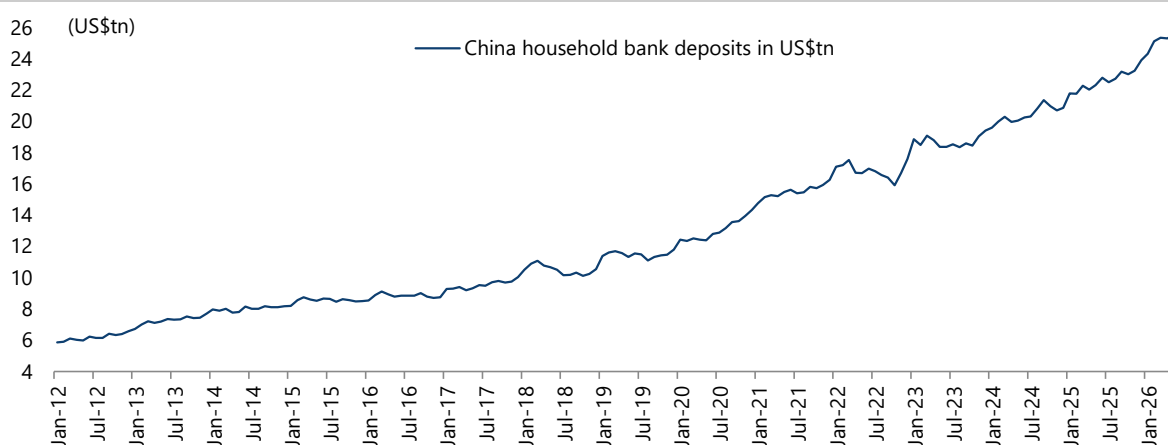
Source: National Bureau of Statistics, CEIC Data, Jefferies

Exhibit 21: China renminbi bank loan growth and private sector credit growth



Note: Private sector credit = Social financing outstanding less equity financing, government bonds, ABS and loan write-offs. Source: PBOC, CEIC Data

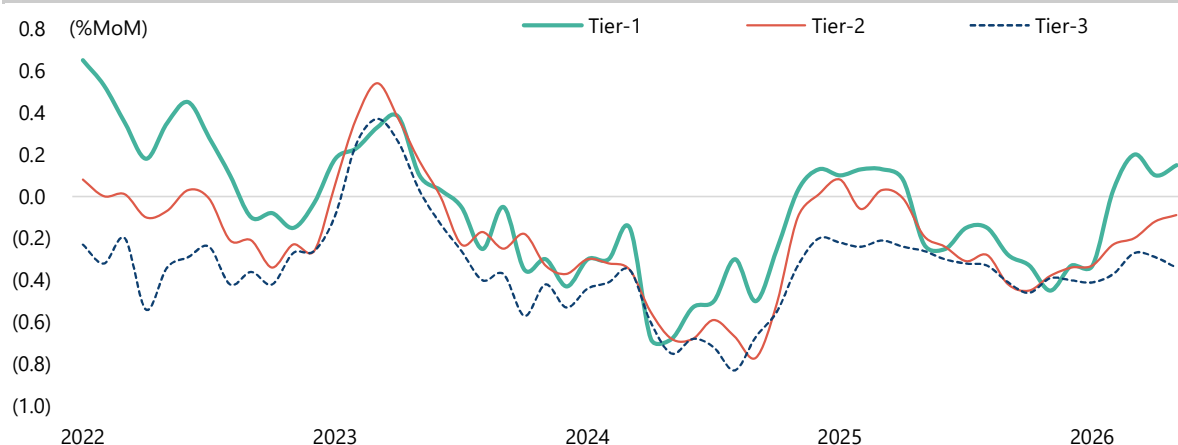
Exhibit 22: China household bank deposits in US dollar terms



Source: PBOC, CEIC Data

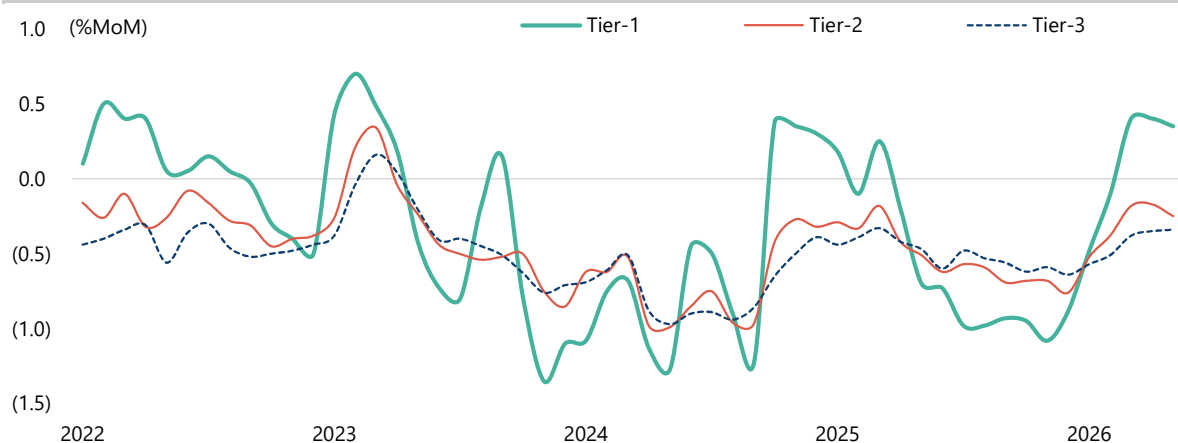
Meanwhile, the one positive remains that home prices continue to look like they have bottomed out in China's biggest cities. The National Bureau of Statistics' official home price survey in 70 major cities shows that new home prices in tier-1 cities rose by an average of 0.15% MoM in May, the fourth straight month of increase. Secondary home prices in tier-1 cities also rose by an average of 0.35% MoM, the third month of increase (see Exhibits 23 and 24).

Exhibit 23: Average new home prices in 70 key cities by city tier (%MoM)



Source: National Bureau of Statistics – Home price survey in 70 major cities, Bloomberg

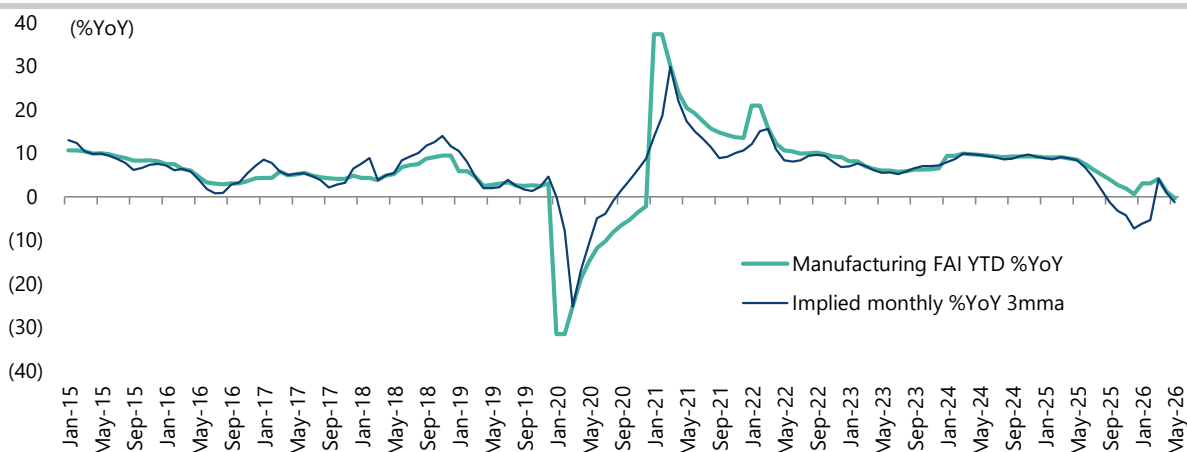
Exhibit 24: Secondary market average home prices in 70 key cities by city tier (%MoM)



Source: National Bureau of Statistics – Home price survey in 70 major cities, Bloomberg

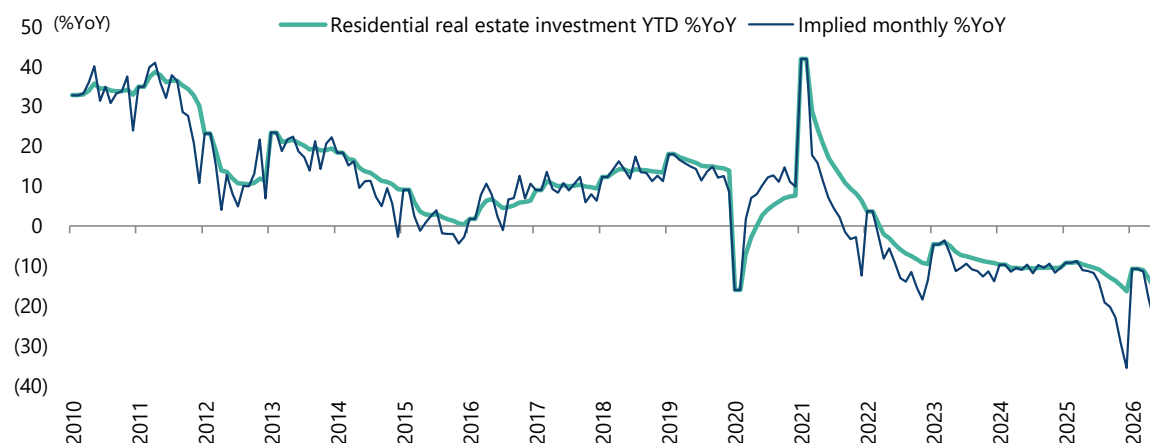
As for investment, total fixed asset investment (FAI) declined by 4.1%YoY in January-May compared with a 1.6% YoY decline in January-April. While manufacturing FAI declined by 0.4%YoY in January-May compared with a 1.2% YoY rise in Jan-April. This implies a 4.2% YoY decline in May and a 1.3% YoY drop in the three months to May (see Exhibit 25). Residential real estate investment also declined by 15.6% YoY in January-May, compared with 13.1% YoY decline in January-April, implying a 23.8%YoY decline in May alone (see Exhibit 26).

Exhibit 25: China manufacturing fixed asset investment growth



Note: Monthly data derived from reported year-to-date data. Source: National Bureau of Statistics, CEIC Data, Jefferies

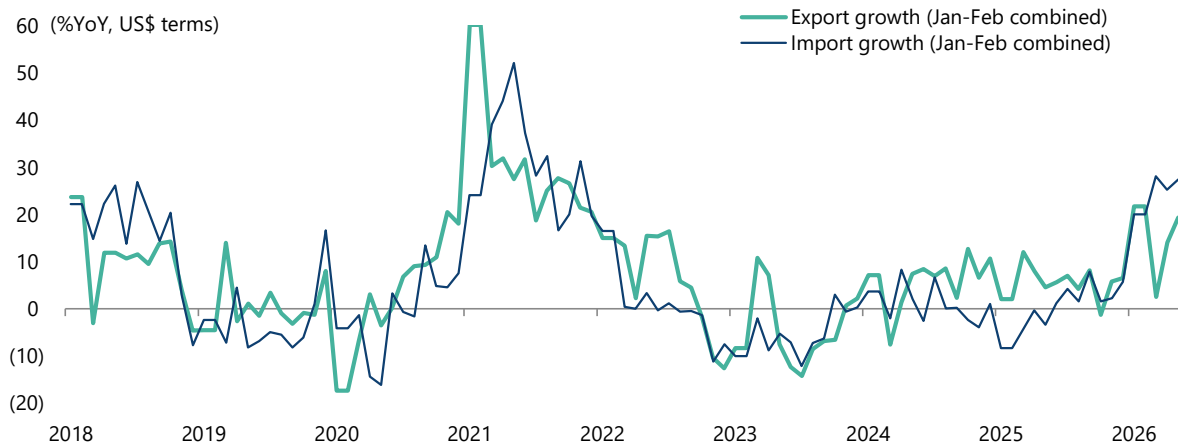
Exhibit 26: Residential real estate investment growth



Note: Monthly data derived from reported year-to-date data. Source: National Bureau of Statistics, CEIC Data, Jefferies

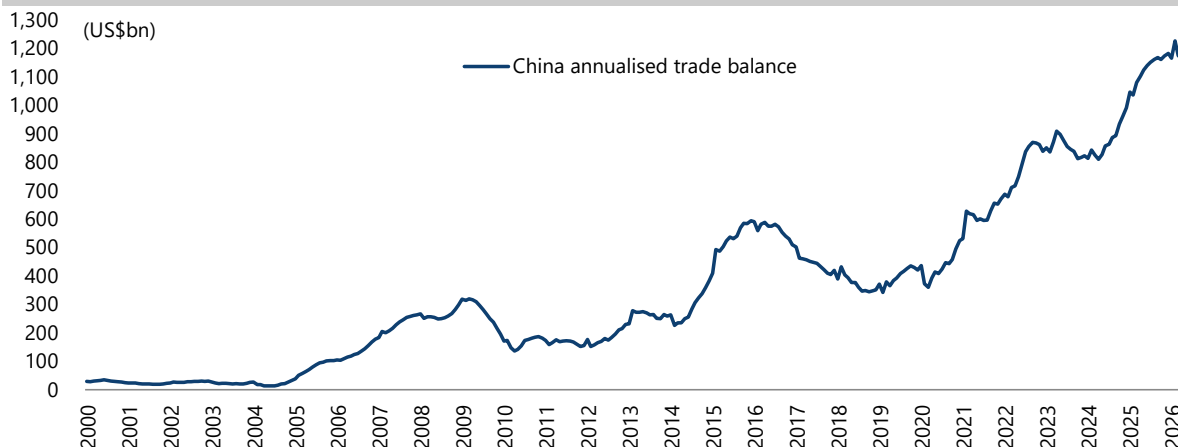
Meanwhile on the trade front, exports have picked up again while import growth remains strong. Exports of goods rose by 19.4% YoY in US dollar terms to US\$377bn in May after slowing to 2.5% YoY in March, while imports were up 27.4% YoY to US\$271bn in May (see Exhibit 27). The annualised trade surplus peaked at US\$1.226tn in February and is now US\$1.166tn (see Exhibit 28). Interestingly, China's exports of electronic integrated circuit continue to surge reflecting the booming price of chips, rising by 111% YoY to a record US\$35.5bn in May. They are now up 90% YoY to US\$139bn in the first five months of 2026 (see Exhibit 29).

Exhibit 27: China export growth and import growth in US dollar terms



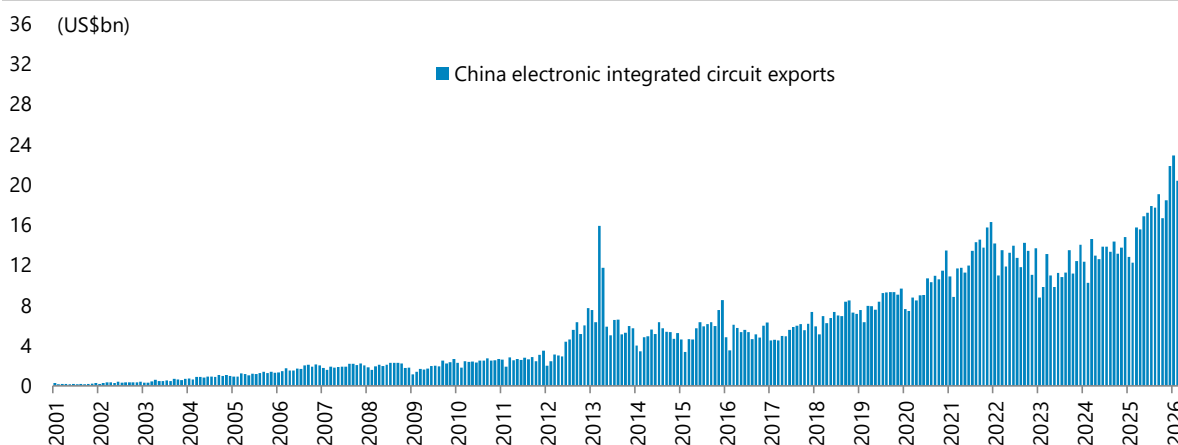
Source: CEIC Data, General Administration of Customs

Exhibit 28: China annualised trade balance



Source: CEIC Data, General Administration of Customs

Exhibit 29: China exports of electronic integrated circuit



Source: CEIC Data, General Administration of Customs

Finally, on prices, China's factory-gate inflation is now at a nearly four-year high. PPI inflation rose to 3.9% YoY in May, the highest level since July 2022; but CPI inflation was unchanged at 1.2% YoY in May (see Exhibit 30). The government bond market continues not to signal a definitive move out of deflation. The China 10-year government bond yield reached a record low of 1.59% in January 2025 and is now 1.72% (see Exhibit 31).

Exhibit 30: China CPI inflation and PPI inflation

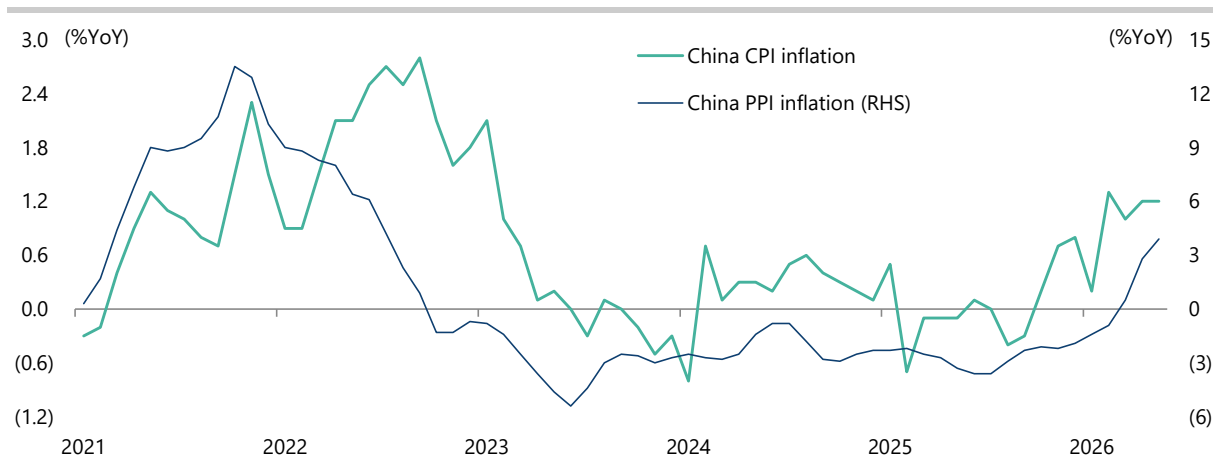


Exhibit 31: China 10-year government bond yield



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(Article 3(1)e and Article 7 of MAR)

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Company Specific Disclosures

Rayyan Matraji owns shares of Amazon.com common stock.

James Heaney has a long position in Facebook.

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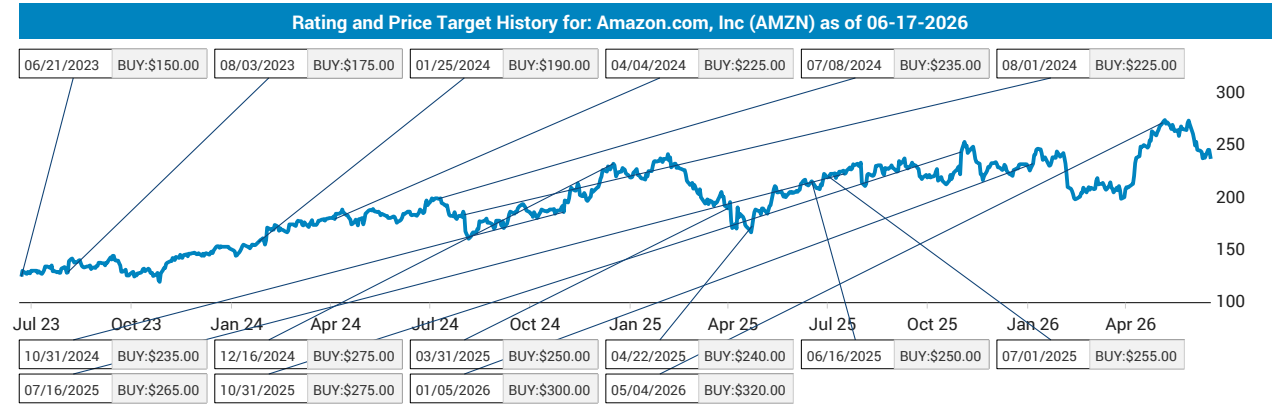
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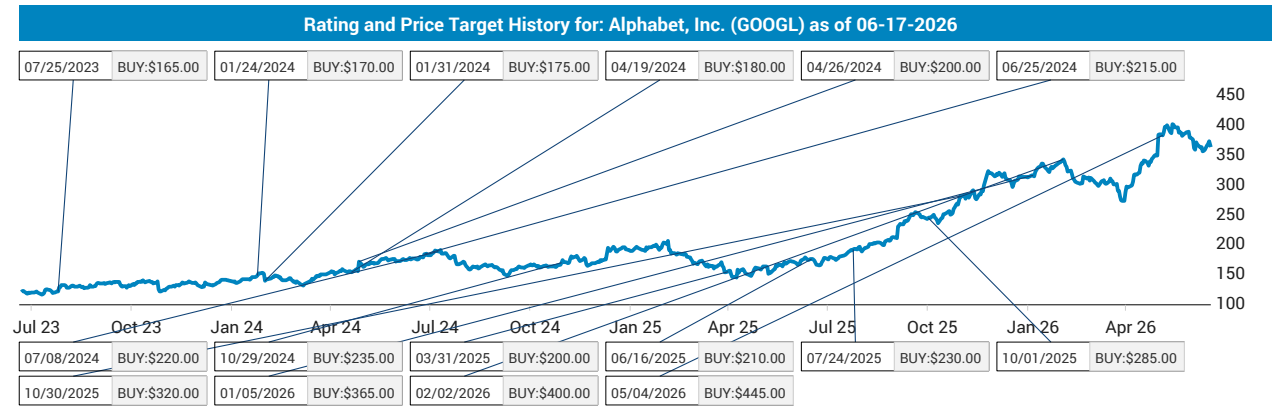
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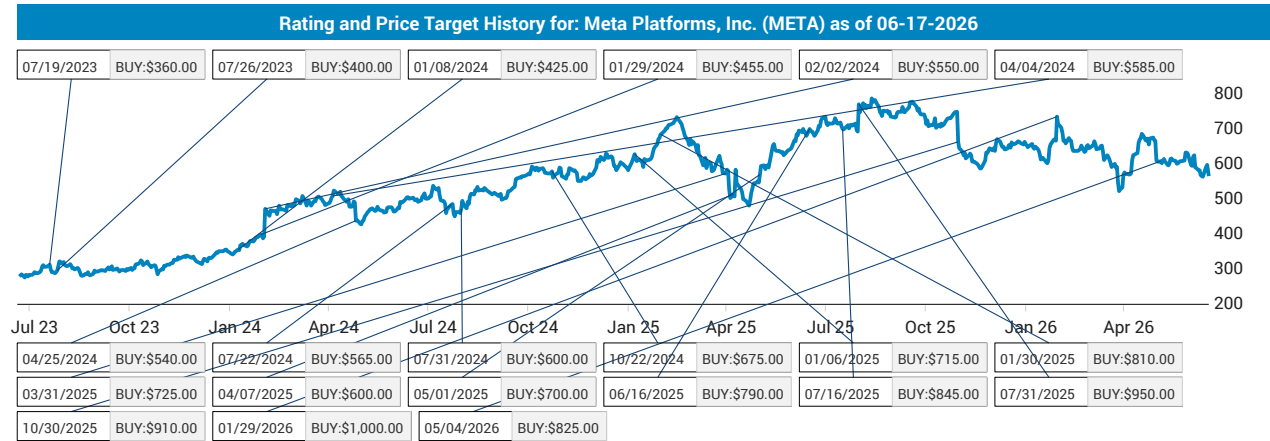
Other Companies Mentioned in This Report

- Alphabet, Inc. (GOOGL: \$363.79, BUY)
- Amazon.com, Inc (AMZN: \$237.50, BUY)
- Meta Platforms, Inc. (META: \$567.58, BUY)
- Microsoft Corporation (MSFT: \$378.91, BUY)
- Tesla, Inc. (TSLA: \$396.38, HOLD)

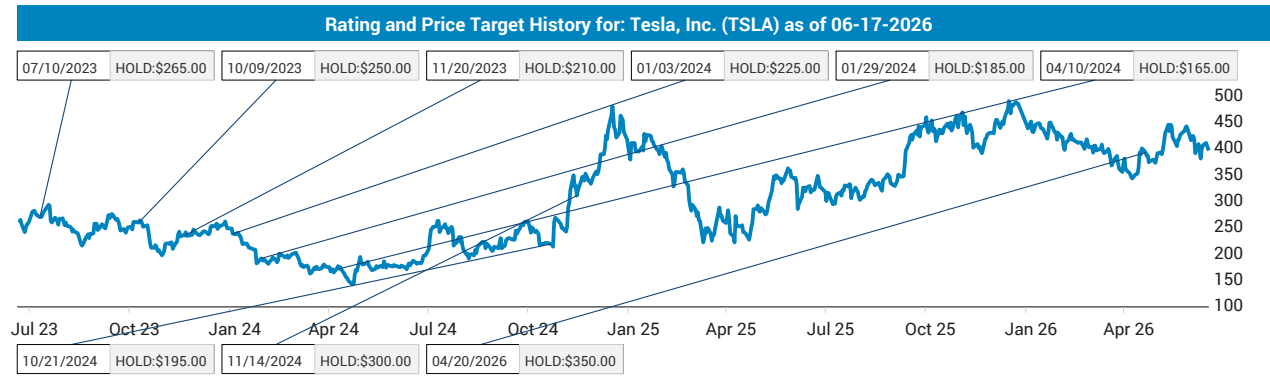
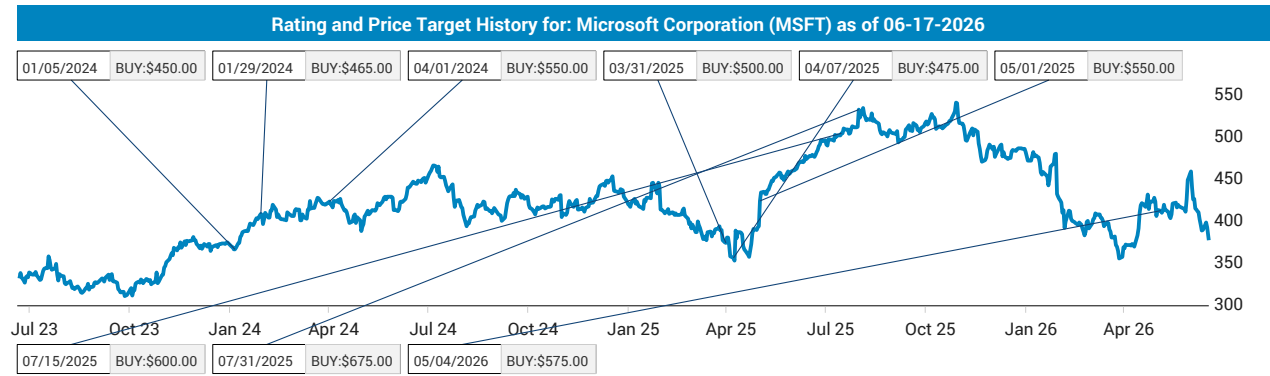


Rayyan Matraji owns shares of Amazon.com common stock.





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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
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